

SETTLEMENT AGREEMENT

This SETTLEMENT AGREEMENT (this "Agreement") is entered into as of the date upon which this Agreement is executed by the last of the Parties (as defined below) hereto (such date, the "Effective Date"), but is retroactive to the Plan Effective Date (as defined below), by and among Beach Orangethorpe Hotel, LLC ("BOH I"), Beach Orangethorpe Hotel II, LLC, and Beach Orangethorpe Hotel III, LLC, each a California limited liability company (collectively, the "BOH Investor Entities" or individually, a "BOH Investor Entity"); M + D Properties, a California corporation ("M+D"); and M&D Regional Center, LLC, a California limited liability company ("MDRC" and together with M+D, the "M+D Parties"); and Donald Chae ("Chae"). The BOH Investor Entities, M+D, MDRC, and Chae are collectively referred to as the "Parties" and each is individually a "Party" to this Agreement.

RECITALS

A. On October 3, 2021, Chae filed a voluntary chapter 11 petition in the United States Bankruptcy Court, Central District of California, Case No. 8:21-bk-12493-SC (the "Bankruptcy Case").

B. On April 1, 2022, BOH I filed a complaint in the Orange County Superior Court, Case No. 30-2022-01252985 ("State Court Action") against Evertrust Bank, M+D, and MDRC.

C. On November 8, 2021, and January 10, 2022, the BOH Investors Entities filed proofs of claims nos. 6, 7, and 12, in the Bankruptcy Case the respective amounts of \$14,500,000, \$10,000,000, \$11,500,000 (collectively, the "Proofs of Claim").

D. On June 15, 2023, the bankruptcy court (the "Court") held a confirmation hearing regarding the First Amended Plan of Reorganization filed by Chae ("Confirmation Hearing"). At the Confirmation Hearing, the Court requested Chae to further amend the First Amended Plan of Reorganization. On June 22, 2023, Chae filed the Second Amended Plan of Reorganization of Donald Chae as docket number 403 (as may be amended or modified, the "Plan").

E. The Plan provides that its effective date is the date that is the fifteenth (15th) day after entry of the order confirming the Plan. On June 29, 2023, the Court entered its Order Confirming Second Amended Plan of Reorganization of Donald Chae. Thus, July 14, 2023, is the effective date of the Plan (the "Plan Effective Date").

F. On or about June 1, 2023, the Parties entered into a Settlement Term Sheet (the "Term Sheet"), which set forth the terms and conditions for a settlement by and among the Parties. The Term Sheet contemplates the preparation of definitive documents incorporating its terms.

G. Whereas, without admitting the truth of any claims or allegations, the Parties now wish to settle their claims against each other pursuant to the terms of this Agreement and the performance of the obligations contained herein.

AGREEMENT

NOW, THEREFORE, in consideration of the mutual covenants, promises, and agreements contained herein, and for other good and valuable consideration, the receipt and adequacy of which are hereby acknowledged, the Parties hereby agree as follows:

PART 1: SETTLEMENT

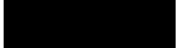
1. **Settlement Payment.** M+D shall pay or cause to be paid to the BOH Investor Entities (as provided in Section 1(c) below), and the BOH Investor Entities agree to accept, the collective sum of THREE MILLION AND 00/100 DOLLARS (\$3,000,000) (the "Settlement Payment"), in full settlement and satisfaction of all claims of the BOH Investor Entities relating to the Bankruptcy Case and State Court Action against the M+D Parties, including all claims raised, or which could have been raised, in the Bankruptcy Case and/or State Court Action. The Settlement Amount shall be paid in installments as follows:

(a) The Parties acknowledge that the Escrow Agent named in the Term Sheet has wired to Edward Wu (the "BOH Counsel"), as counsel for and on behalf of the BOH Investor Entities, an initial installment payment of ONE MILLION AND 00/100 Dollars (\$1,000,000.00) (the "Initial Payment"). The Escrow Agent's payment of the Initial Payment to the BOH Counsel satisfies M+D's obligation to make the Initial Payment and the Escrow Agent's duties under the Term Sheet;

(b) The balance of \$2,000,000 shall be paid in 48 monthly installments (each, a "Monthly Payment"). Except for the Final Monthly Payment (as defined below), each Monthly Payment shall be in the sum FORTY-ONE THOUSAND SIX HUNDRED SIXTY-SIX AND 66/100 DOLLARS (\$41,666.66). The Monthly Payments for the eight (8) months of August 2023 to March 2024 shall be made by March 15, 2024 in the amount of Three Hundred Thirty-Three Thousand, Three Hundred Thirty-Three and 28/100 Dollars (\$333,333.28). Thereafter (*i.e.*, beginning on April 1, 2024), each Monthly Payment shall be made on or before the first business day of each calendar month until the entire Settlement Payment has been made. The forty-eighth and final Monthly Payment (the "Final Monthly Payment") is due on July 1, 2027, in the sum of FORTY-ONE THOUSAND SIX HUNDRED SIXTY-SIX AND 98/100 DOLLARS (\$41,666.98); and

(c) Each of the Initial Payment and the Monthly Payments shall be made by wire transfer pursuant to instructions provided by the BOH Counsel. Unless BOH Counsel subsequently provides different instructions in writing, payments to the BOH Investor Entities shall be made as follows:

Wire Transfer:

Bank: JPMorgan Chase Bank, N.A.
Bank Address: 270 Park Avenue, 43rd Floor, New York, NY 10017
Business Name: EDW Firm, LLC
Routing Number: 
Account Number: 

2. **Uncured Default.** The failure of M+D to make any Monthly Payment (including the Final Monthly Payment) on the dates required in Section 1(b) above shall constitute a default (a "Default"). If a Default occurs, then prior to seeking any remedies provided for in this Agreement, the BOH Investor Entities shall provide written notice of such Default by email to counsel for M+D as specified in Section 31 below ("Default Notice"). M+D's failure to cure such Default within thirty (30) days of receipt of such Default Notice shall constitute an "Uncured Default." Upon the occurrence and continuance of any Uncured Default by M+D, the BOH Investor Entities shall have the right to (a) enforce this Agreement or, alternatively, (b) assert or re-assert, as applicable, against any of the Company Released Parties (as defined below) any alleged claims up to the maximum amount of \$5,000,000 per BOH Investor Entity (for a maximum collective sum of \$15,000,000), less any amounts paid pursuant to this Agreement (including, without limitation, the Initial Payment and Monthly Payments) and, subject to the respective rights of the Company Released Parties to defend against any such claims based on any and all grounds or arguments and to assert that it/they has/have no liability to any BOH Investor Entity and no amount is owing; provided, however, that the statute of limitations for any such claim against the M+D Parties or any other of the Company Released Parties shall be tolled beginning from the Plan Effective Date to the date that is six (6) months after such Uncured Default by M+D, and subject to the respective rights of the Company Released Parties to defend against any such claims based on any and all grounds or arguments and to assert that it/they has/have no liability to any BOH Investor Entity and no amount is owing.

3. **The Note.** The repayment of the Settlement Payment will be evidenced by the promissory note attached hereto as **Exhibit A** made by M+D payable in accordance with this Agreement to the order of each BOH Investor Entity *pari passu* (the "Note"). The Note will be secured by a junior lien deed of trust in substantially the form and content attached hereto as **Exhibit B** (the "Junior Deed of Trust") containing a due-on-sale clause against the real property located at 6832 Beach Blvd., Buena Park, California (the "Pizza Hut Property"). M+D will provide to BOH Counsel a duly executed original Note and executed and acknowledged Junior Deed of Trust by the Effective Date and BOH Investor Entities may record the Junior Deed of Trust at any time on or after the Effective Date. Upon written request of M+D after all sums secured hereby have been paid, the BOH Investors shall cause the trustee named in the Junior Deed of Trust to fully reconvey and release the entire Junior Deed of Trust against the Pizza Hut Property then held hereunder. The BOH Investor Entities shall execute any instruments reasonably required to effectuate such reconveyance. The recitals in such reconveyance of any matters of facts shall be conclusive proof of the truthfulness thereof. The grantee in such reconveyance may be described as "the person or persons legally entitled thereto."

4. **Pizza Hut Property Representations.** M+D represents and warrants that:

- (a) M+D is the fee owner of the Pizza Hut Property;
- (b) M+D obtained a loan in the amount of \$1,006,000 (the "Loan") from J & K PLC ("Existing Lender"), which is evidenced by a promissory note for the Loan amount ("Existing Note") made by M+D payable to the order of Existing Lender;
- (c) the repayment under the Existing Note is secured by a first-priority deed of trust executed by M+D, as trustor, to Chicago Title Company, as trustee, for the benefit of Existing

Lender, as beneficiary, dated as of March 9, 2022, and recorded on April 12, 2022, in the Official Records of Orange County, California, as Instrument No. 2022000138967;

(d) to M+D's knowledge, no other security interest, deed of trust, or lien of any kind encumbers the Pizza Hut Property that would have priority over the Junior Deed of Trust;

(e) to M+D's knowledge, no breach or default under the Existing Note exists;
and

(f) M+D will not request an increase in the Loan amount secured by the Pizza Hut Property from the Existing Lender; provided, however, M+D may refinance the Loan secured by a senior lien on the Pizza Hut Property as needed and not more than needed on then-commercially reasonable terms, subject to the consent of the BOH Investor Entities, which consent shall not be unreasonably withheld. BOH Investor Entities shall execute and acknowledge a subordination agreement in favor of any such senior lender to evidence the junior priority position of the Junior Deed of Trust.

5. **Support of the Plan.** The Parties acknowledge that, consistent with the Term Sheet, the BOH Investor Entities submitted ballots to Chae to accept the Plan and did not file an opposition to the Plan.

6. **Discharge.** Without limiting the scope or effectiveness of the discharge in the Plan, the Parties acknowledge and agree that Chae has received a discharge as provided in the Plan on the Plan Effective Date and that such discharge includes all claims and debts of the BOH Investor Entities, including, without limitation, all claims and debts based on or arising under this Agreement, the Term Sheet, the settlement embodied in this Agreement and the Term Sheet, the State Court Action (including all other claims that could have been brought in the State Court Action), or the documents referenced in this Agreement and the Term Sheet and any such claims and debts shall be deemed debts that arose prior to the date of the confirmation of the Plan and the Plan Effective Date.

7. **Immigration Application.** The M+D Parties will, with respect to matters within their control, continue to provide assistance to the extent that they can, and if they are able, related to the immigration applications of the investors of the BOH Investor Entities.

PART 2: RELEASE

8. **Chae General Release.** Upon the Effective Date, the BOH Investor Entities, on behalf of themselves, the BOH Investor Entities' respective agents, attorneys, representatives, successors, and assigns, and any and all persons that may purport to assert any cause of action derivatively or otherwise, by, through or on behalf of any of the BOH Investor Entities (collectively "BOH Releasing Parties"), hereby forever release and discharge Donald Chae (collectively, the "Chae Released Parties") of all rights, claims, derivative claims, judgments, demands, debts, duties, obligations, promises, liabilities, contributions, indemnities, recoupments, amounts, disgorgements, damages, accounts, payments, costs, expenses, sums of money, rights of payment, acts, suits, actions, or causes of action of whatsoever character, nature, or kind, in law or in equity, whether known or unknown, fixed or contingent, and liquidated or unliquidated which the BOH Releasing Parties may now own or hold, may have previously owned or held, excluding

only the Proofs of Claim, which are and shall remain subject to the terms of the Plan, including the discharge in the Plan.

9. **General Release.** Upon the Effective Date, the BOH Investor Entities, on behalf of themselves and the other BOH Releasing Parties, hereby forever release and discharge M+D, MDRC, and any other affiliates or subsidiaries of (a) Donald Chae and/or (b) either or both of the M+D Parties (excluding Donald Chae whose release is governed by Section 8 above), including, without limitation, The Source at Beach, LLC, The Source Office, LLC, Greenland Property Management, LLC, and all other companies listed in the chart attached hereto as **Exhibit C** (collectively, the "Company Released Parties") of all rights, claims, judgments, demands, debts, duties, obligations, promises, liabilities, contributions, indemnities, recoupments, amounts, disgorgements, damages, accounts, payments, costs, expenses, sums of money, rights of payment, acts, suits, actions, or causes of action of whatsoever character, nature, or kind, in law or in equity, whether known or unknown, fixed or contingent, and liquidated or unliquidated which the BOH Releasing Parties may now own or hold, may have previously owned or held, against the Company Released Parties, excluding only the obligations under this Agreement, the Note, the Junior Deed of Trust, and the rights under Section 2 herein upon the occurrence of an Uncured Default as set forth in Section 2. For avoidance of doubt, the foregoing release in this Section 9 shall in no way limit or prevent the BOH Investor Entities' ability to enforce the obligations of the M+D Parties under this Agreement and in accordance with its terms.

10. **WAIVER OF CIVIL CODE SECTION 1542.** THE BOH INVESTOR ENTITIES KNOWINGLY AND EXPRESSLY WAIVE PROVISIONS OF CALIFORNIA CIVIL CODE SECTION 1542 PERTAINING TO GENERAL RELEASES. CALIFORNIA CIVIL CODE SECTION 1542 PROVIDES:

A GENERAL RELEASE DOES NOT EXTEND TO CLAIMS THAT THE CREDITOR OR RELEASING PARTY DOES NOT KNOW OR SUSPECT TO EXIST IN HIS OR HER FAVOR AT THE TIME OF EXECUTING THE RELEASE AND THAT, IF KNOWN BY HIM OR HER, WOULD HAVE MATERIALLY AFFECTED HIS OR HER SETTLEMENT WITH THE DEBTOR OR RELEASED PARTY.

In connection with such waiver and relinquishment, each BOH Investor Entity acknowledges that it is aware that it may later discover facts in addition to, or different from, those which it knows or believes to be true with respect to the subject matter of this Agreement, but that it is its intention to fully, finally, and forever settle and release all matters set forth in this Agreement. The releases given by this Agreement shall be and remain in effect as a full and complete release notwithstanding the discovery or existence of any such additional or different facts.

Notwithstanding anything herein to the contrary, nothing herein shall limit the scope and/or the effectiveness of the releases set forth or granted in the Plan.

11. **Dismissal of State Court Action.** No later than five (5) business days after the Effective Date, BOH I will file a request dismissing M+D and MDRC from the State Court Action, subject to Section 2 above.

12. **Approval of this Agreement.** M+D and MDRC may, by stipulation with Evertrust Bank or by motion, seek to have this Agreement approved in the State Court Action pursuant to California Code of Civil Procedure § 877.6(c). Approval of this Agreement pursuant to California Code of Civil Procedure § 877.6(c) is not a condition to the effectiveness of this Agreement and the failure to obtain such approval shall not impact this Agreement or its terms in any way. In connection with the M+D Parties seeking such approval, the BOH Investor Entities shall not oppose Evertrust Bank receiving a credit of the amounts paid to and received by BOH I, up to \$1,000,000 for any liability awarded in favor of BOH I and against Evertrust Bank in the State Court Action pursuant to California Code of Civil Procedure § 877.

13. **No Admission of Liability.** This Agreement is not in and of itself an admission of liability or that any alleged claim or liability exists by any of the Parties against any of the other Parties.

PART 3: REPRESENTATIONS AND WARRANTIES

14. **This Agreement is Voluntary.** Each Party (a) is executing this Agreement without duress or undue influence, and (b) has had the opportunity to be represented by competent legal counsel of its own choosing, and (c) is executing this Agreement with the full knowledge and understanding of the terms of the agreements herein set forth.

15. **Authorization.** Each Party has the power and authority to execute, deliver, and perform this Agreement, and any certificates, instruments or agreements delivered in connection herewith to which it is a party, to release the claims of such Party, and to otherwise perform its obligations hereunder and thereunder and to consummate the transactions contemplated hereby and thereby. This Agreement has been duly authorized, executed and delivered by each Party, and this Agreement constitutes, and the agreements contemplated hereby to which it is a party shall constitute, as the case may be, when duly executed by all parties thereto and delivered, the legal, valid and binding obligations of such Party, enforceable against that Party in accordance with their respective terms. Notwithstanding the foregoing, if and to the extent that a Special Manager lacks the authority to bind its respective BOH Investor Entity to this Agreement and its terms, then such Special Manager or BOH Investor Entity shall have the right to obtain such authority in the manner set forth in Section 17 of this Agreement. If and to the extent that a Special Manager lacks the authority to bind its respective BOH Investor Entity to this Agreement and its terms solely because the approval or consent of MDRC and/or M+D to the prior appointment of such Special Manager as represented in Section 17 of this Agreement is required, then such approval or consent shall be provided by MDRC and/or M+D, as needed. Without limiting the scope or effectiveness of the releases in Sections 8 and 9 in this Agreement, nothing in this Agreement shall be construed as a representation by a BOH Investor Entity that it has the authority to release the direct claims of any party who is not a Party to this Agreement.

16. **Consents and Approvals; No Violations.** Neither the execution and delivery of this Agreement by each Party nor the consummation of the transactions contemplated hereby will

(a) violate or result in a violation of, conflict with or constitute or result in a breach of or default under any provision of the organizational documents or management agreement of that Party, or (b) violate, conflict with or result in a violation of, or constitute a default (whether after the giving of notice, lapse of time or both) under, any provision of any law, regulation or rule, or any order of, or any restriction imposed by any governmental entity with competent jurisdiction over such Party. Notwithstanding the foregoing, if and to the extent that a Special Manager lacks the authority to bind its respective BOH Investor Entity to this Agreement and its terms, then such Special Manager or BOH Investor Entity shall have the right to obtain such authority in the manner set forth in Section 17 of this Agreement.

17. **Duly Authorized Manager.** Each individual signing this Agreement on behalf of a BOH Investor Entity, is the duly appointed and authorized Special Manager of such entity and was appointed by a vote of a majority of the Class B Members of such entity and has obtained all such consents and authority to bind such BOH Investor Entity to the terms of this Agreement. If any third party later contests or disputes the authority of a Special Manager to execute this Agreement on behalf of a BOH Investor Entity and bind such entity to this Agreement and its terms, then the Party first becoming aware of such dispute shall promptly notify the other Parties (a "Dispute Notice"). Within thirty (30) days after the date of a Dispute Notice (the "Cure Period"), such Special Manager(s) shall use commercially reasonable efforts to obtain the necessary approvals and authority ("Authorization"); provided, however, such Special Manager need not obtain new Authorization to bind its BOH Investor Entity if such BOH Investor Entity is already bound by sufficient Authorization. If further Authorization is required and such Authorization is not obtained within the Cure Period, then the M+D Parties may elect to terminate this Agreement as to the BOH Investor Entity that lacks Authorization (the "Unauthorized BOH Entity"), and if the M+D Parties so elect, then (i) all payments made to such Unauthorized BOH Entity shall be disgorged and repaid to M+D within thirty (30) days after the M+D Parties' election, and(ii) the releases by the Unauthorized BOH Entity pursuant to this Agreement and the Term Sheet of the Chae Released Parties or the Company Released Parties shall be of no further force and effect, and all the terms and conditions of this Agreement shall remain in force and effect as to the other BOH Investor Entity(ies) who are not an Unauthorized BOH Entity.

18. **No Transfer of Released Claim.** Each Party hereto warrants and represents that it is the sole owner of the claims, causes of action, costs, demands, or other matters of such Party released by such Party herein, and that none of such released claims, causes of action, costs, demands, or other matters or any part thereof, has been assigned, granted, pledged or transferred in any way to any other person and/or entity.

19. **Allocation of Settlement Payment.** The Parties represent, warrant, and covenant that the allocation of the Settlement Payment among the BOH Investor Entities is the responsibility, and determination, of the BOH Investor Entities and not of M+D, MDRC, and/or Donald Chae, and M+D, MDRC, and/or Donald Chae shall have no liability to the BOH Investor Entities with respect to allocation of the Settlement Payment among the BOH Investor Entities.

PART 4: INDEMNITY

20. **Mutual Indemnification.** Each Party shall pay for, defend, indemnify, and hold the other Party harmless from all claims, judgments, liabilities, penalties, costs, and expenses,

including attorneys' fees and costs arising from or caused by such indemnifying Party's fraud or willful misconduct in connection with this Agreement; provided, however, the obligation to defend and hold harmless in this Section 20 shall not apply to Donald Chae and that Donald Chae shall not have any obligation to indemnify and/or hold harmless any Party under this Agreement.

PART 5: GENERAL PROVISIONS

21. **Term Sheet.** In the event that there is any conflict between the provisions in this Agreement and the Term Sheet, the terms of this Agreement shall govern, and this Agreement supersedes the Term Sheet.

22. **Expenses.** Each of the Parties shall pay their own costs and expenses incurred or to be incurred by it in negotiating and preparing this Agreement. Each of the Parties shall pay such expenses as set forth herein in carrying out the transactions and obligations contemplated herein. The Parties agree, however, that the prevailing party in any action to enforce or interpret this Agreement shall be entitled to recover its or his/her reasonable attorneys' fees and costs.

23. **Effect of Headings.** The subject headings of the Sections of this Agreement are included for purposes of convenience only and shall not affect the construction or interpretation of any of its provisions.

24. **Entire Agreement, Modification; Waiver.** This Agreement constitutes the entire agreement between the Parties hereto pertaining to the subject matter contained in it and supersedes all prior and contemporaneous agreements, representations and understandings of the Parties (including, without limitation, the Term Sheet) pertaining to such subject matter. No waiver of any of the provisions of this Agreement shall be deemed, or shall constitute a waiver of any other provision, whether or not similar, nor shall any waiver constitute a continuing waiver. No waiver shall be binding unless executed in writing by the Party making the waiver.

25. **Parties in Interest.** Nothing in this Agreement, whether express or implied, is intended to confer any rights or remedies under or by reason of this Agreement on any person other than the Parties to it and their respective successors and assigns, except as set forth herein, nor is anything in this Agreement intended to relieve or discharge the obligation or liability of any third person to any Party to this Agreement, except as set forth herein, nor shall any provision give any third person the right of subrogation or action over or against any Party to this Agreement, except as set forth herein.

26. **Severability.** Should any provision or portion of this Agreement be held or otherwise become unenforceable or invalid for any reason, the remaining provisions and portions of this Agreement shall be unaffected by such enforceability or invalidity.

27. **Counterpart Execution.** This Agreement may be executed in any number of counterparts with the same effect as if all the Parties hereto had signed the same document. All counterparts shall be construed together and shall constitute one agreement. The Parties also agree that a faxed or emailed signature shall be deemed to have the same effect as an original.

28. **Governing Law.** This Agreement shall be construed in accordance with, and governed by, the laws of the state of California without reference to or application of choice of law or conflict of law rules.

29. **Confidentiality.** The Parties shall keep this Agreement, its terms, and the subject matter of this Agreement confidential; provided that this Agreement may be (1) produced by the M+D Parties in connection with seeking approval of this Agreement in the State Court Action, and (2) filed, produced or provided by any Party (i) in connection with any claims related to the enforcement of the terms of this Agreement, (ii) to any member of the BOH Investor Entities in order to inform such member of this Agreement with the instruction by the Party so providing this Agreement that such member is to keep this Agreement and its terms confidential, and (iii) to the USCIS as may be required to inform the same of this Agreement. The Parties may make disclosures regarding the terms of this Agreement to their respective professional representatives (e.g., attorneys, accountants, auditors, tax preparers) and the professional representatives of the investors of the BOH Investor Entities. To the extent permitted by law, the Parties further agree to give the other notice within three (3) business days of such Party's receipt of a subpoena or other order by court or agency. Nothing in this Agreement shall prevent such Party from complying with a subpoena or providing testimony in any administrative, legislative, or judicial proceeding related to this Agreement.

30. **Notices.** Any notice by any Party to any other Party as required by or under this Agreement shall be made by e-mail and delivered to the other Party at the address below until written notice of a different e-mail address and address is given by the Party.

To the BOH Investor Entities:

Edward Wu
EDW Firm, LLC
4630 Center Blvd, #903
LIC, NY 11109
edward.wu@edwlawgroup.com

To the M+D Parties and Womble Bond Dickinson (US) LLP:

John C. Kang
Womble Bond Dickinson (US) LLP
400 Spectrum Center Drive, Suite 1700
Irvine, CA 92618
John.Kang@wbd-us.com

To Donald Chae:

Robert S. Marticello
Smiley Wang-Ekval, LLP
3200 Park Center Drive, Suite 250
Costa Mesa, CA 92626
rmarticello@swelawfirm.com

[Signatures on next page]

IN WITNESS WHEREOF, the Parties to this Agreement have duly executed this Agreement to be effective on the Effective Date.

BOH Investor Entities:

Beach Orangethorpe Hotel, LLC

By: _____

Name:

Title:

Date: _____

Beach Orangethorpe Hotel II, LLC

By: _____

Name:

Title:

Date: _____

Beach Orangethorpe Hotel III, LLC

By: _____

Name:

Title:

Date: _____

[Signatures continue on next page]

M&D Parties:

M + D Properties

By: 
Donald Chae
President

Date: _____

M + D Properties

By: 
Donald Chae
President

Date: _____

M&D Regional Center, LLC

By: M + D Properties,
its Manager

By: 
Donald Chae
President

Date: _____


Donald Chae

Date: _____

EXHIBIT "A"

PROMISSORY NOTE

\$2,000,000.00

Date: March __, 2024

For value received, M + D Properties, a California corporation ("M+D"), hereby promises to pay to the order of Beach Orangethorpe Hotel, LLC, Beach Orangethorpe Hotel II, LLC, and Beach Orangethorpe Hotel III, LLC, each a California limited liability company (together, the "BOH Investor Entities") *pari passu*, in lawful currency of the United States, the collective sum of Two Million Dollars (\$2,000,000.00) (the "Balance") pursuant and subject to, and solely based on, the terms of that certain Settlement Agreement dated as of the date hereof (the "Settlement Agreement"), by and between the BOH Investor Entities, M+D, M&D Regional Center, LLC, a California limited liability company, and Donald Chae. The Balance shall not accrue any interest.

1. Payments. M+D acknowledges and agrees that the Balance shall be due and payable in forty-eight (48) monthly payments (each, a "Monthly Payment"), with 47 equal Monthly Payments of Forty-One Thousand Six Hundred Sixty-Six and 66/100 Dollars (\$41,666.66) and a final, forty-eighth Monthly Payment in the amount of Forty-One Thousand Six Hundred Sixty-Six and 98/100 Dollars (\$41,666.98). M+D shall make the Monthly Payments for the eight (8) months of August 2023 to March 2024, in the amount of Three Hundred Thirty-Three Thousand, Three Hundred Thirty-Three and 28/100 Dollars (\$333,333.28), by March 15, 2024. Thereafter (*i.e.*, beginning on April 1, 2024), M&D shall make a Monthly Payment on or before the first business day of each calendar month until the entire Balance due under this Note is paid in full. The final Monthly Payment is due on July 1, 2027 (the "Final Monthly Payment Due Date"). M+D shall make all payments hereunder by wire transfer to Edward Wu (the "BOH Counsel"), as counsel for and on behalf of the BOH Investor Entities, in accordance with the BOH Payment Instructions (as defined in the Settlement Agreement).

2. Default. The failure of M+D to make any payment on the Note on the date required in Section 1 of this Note above shall constitute a default (a "Default"). If a Default occurs, then prior to seeking any remedies provided for in the Settlement Agreement, the BOH Investor Entities shall provide written notice of such Default by email to counsel for M+D as specified in Section 30 of the Settlement Agreement ("Default Notice"). M+D's failure to cure such Default within thirty (30) days of receipt such Default Notice shall constitute an "Uncured Default." Upon any Uncured Default by M+D under this Note, the BOH Investor Entities shall have only the remedies expressly set forth in Section 2 of the Settlement Agreement.

3. Prepayment. M+D has the right to make payment of the unpaid Balance in whole or in part at any time before the Final Monthly Payment Due Date ("Prepayment") without any premium or penalty. If M+D intends to make a Prepayment, M+D shall notify the BOH Counsel of such in writing in advance of such Prepayment; then BOH Investor Entities shall apply such Prepayment to reducing the outstanding Balance under this Note.

4. No Usury. M+D and the BOH Investor Entities intend to comply at all times with applicable usury laws. The Balance shall not accrue any interest. Without limiting the forgoing and out of abundance of caution, if, at any time, such laws would render usurious any amounts called for under this Note, it is M+D's and the BOH Investor Entities' express intention that M+D shall never be required to pay interest on this Note at all or at a rate in excess of the maximum

lawful rate then allowed. The provisions of this Section 4 shall control over all other provisions of this Note, which may be in apparent conflict hereunder. Any excess amount due to this Section 4 shall be immediately refunded by BOH Investor Entities to M+D, and the provisions hereof shall be immediately reformed, and the amounts thereafter collectible under this Note shall be reduced, without the necessity of the execution of any further documents, so as to comply with the then applicable law, but so as to permit the recovery of the fullest amount otherwise called for under this Note. The term "applicable law" as used in this Note shall mean the laws of the State of California, as such laws now exist or may be changed or amended or come into effect in the future.

5. Notice. Any notice that must be given to M+D and the BOH Investor Entities under this Note shall be given as set forth in Section 30 of the Settlement Agreement.

6. Extensions/Renewals. The BOH Investor Entities may in its sole and absolute discretion, without notice and without releasing the liability of M+D, grant extensions and/or renewals hereof from time to time or for any term or terms, including, without limitation, a date upon which a Monthly Payment is due hereunder. No extension or renewal shall be effective unless given in writing and executed by the BOH Investor Entities.

7. Assignment. This Note shall be binding upon and inure to the benefit of M+D, the BOH Investor Entities, and such party's respective heirs, successors, assigns, and legal representatives; provided, however, that neither M+D nor the BOH Investor Entities may assign or transfer its respective obligations or rights hereunder without the prior written consent of the other, which shall not be unreasonably withheld. Any party who takes this Note by assignment or transfer with the consent of the parties hereto as required by this Section 7 shall be subject to all of the terms and conditions of this Note and the Settlement Agreement, including, without limitation, such assignor's(s') obligations under the Note and the Settlement Agreement.

8. Entire Agreement; Amendments. This Note and the Settlement Agreement contain the entire understanding of the parties with respect to the subject matter hereof and include all of the oral and written agreements, representations, and arrangements between the parties with respect to the obligations to be incurred by M+D herein, and no other representations or warranties are made or implied except as expressly set forth in this Note. This Note may not be changed or amended orally, but only by an agreement in writing, signed by the party against whom enforcement is sought. If and to the extent that there is any conflict between the terms of this Note and the terms of the Settlement Agreement, the terms of the Settlement Agreement shall control.

9. Captions. All paragraph and subparagraph captions are for convenience of reference only and shall not affect the construction of any provision herein.

10. Governing Law and Venue. This Note shall be construed in accordance with and governed by the laws of the State of California without regard to any conflict of law principles. The state courts of the State of California shall have sole and exclusive jurisdiction over any dispute arising from this Note.

11. Severability. If any provision of this Note shall for any reason be held invalid or

unenforceable, such invalidity or unenforceability shall not affect any other provision of this Note, but this Note shall be construed as if this Note had never contained the invalid or unenforceable provision.

IN WITNESS WHEREOF, and intending to be legally bound hereby, M+D has executed this Promissory Note on the day and year first above written.

M + D Properties,
a California corporation

By: 
Donald Chae
President

Date: _____

EXHIBIT "B"

**RECORDING REQUESTED BY, AND
WHEN RECORDED, MAIL TO:**

Edward Wu
EDW Firm, LLC
4630 Center Blvd, #903
LIC, NY 11109

(SPACE ABOVE FOR RECORDER'S USE)

**SHORT FORM DEED OF TRUST
(JUNIOR LIEN)**

THIS SHORT FORM DEED OF TRUST (this "Deed of Trust") is made and entered into as of March __, 2024, by and among M + D Properties, a California corporation ("Trustor"); First American Title Insurance Company ("Trustee"); and Beach Orangethorpe Hotel, LLC, Beach Orangethorpe Hotel II, LLC, and Beach Orangethorpe Hotel III, LLC, each a California limited liability company (collectively, "Beneficiary").

WITNESSETH: That Trustor IRREVOCABLY GRANTS, TRANSFERS AND ASSIGNS TO TRUSTEE IN TRUST, WITH POWER OF SALE that certain real property in the city of Buena Park, County of Orange, State of California, described as:

See Exhibit A attached hereto and incorporated by reference.

More commonly known as 6832 Beach Blvd., Buena Park, CA 90621.

In the event of a sale, transfer, or other disposition of the property encumbered hereby or any right or interest therein or any part thereof (whether voluntary, by operation of law or otherwise), to or in favor of any person or entity, then at the option of Beneficiary evidenced by written notice to Trustor, the entirety of the principal and interest evidenced by the Note secured hereby and all other obligations evidenced or secured by this instrument, irrespective of the maturity dates expressed therein, shall immediately become due and payable without demand or notice. No waiver of this right shall be effective unless in writing. Consent by the Beneficiary to one such transaction shall not constitute a waiver of the right to require such consent to succeeding transactions.

TOGETHER WITH the profits thereof, SUBJECT, HOWEVER, to the right, power and authority given to and conferred upon Beneficiary by paragraph 10 of the provisions incorporated herein by reference to collect and apply such profits.

FOR THE PURPOSE OF SECURING: payment of the indebtedness evidenced by one promissory note in the principal sum of **\$2,000,000.00** of even date herewith executed by Trustor in favor of Beneficiary pursuant and subject to the terms and conditions of the Settlement Agreement dated as of the date hereof between Beneficiary, Trustor, M&D Regional Center, LLC, and Donald Chae, and any extension or renewal thereof.

The undersigned Trustor requests that a copy of any Notice of Default and of any Notice of Sale hereunder be mailed to him at 6940 Beach Boulevard, Suite #500, Buena Park, CA 90621.

TRUSTOR:

M + D Properties,
a California corporation

By: 
Donald Chae
President

CERTIFICATE OF ACKNOWLEDGMENT

A notary public or other officer completing this certificate verifies only the identity of the individual who signed the document to which this certificate is attached, and not the truthfulness, accuracy, or validity of that document

STATE OF CALIFORNIA)
) SS
COUNTY OF ORANGE)

On _____, 2024 before me, _____, a Notary Public, personally appeared **DONALD CHAE**, who proved to me on the basis of satisfactory evidence to be the person(s) whose name(s) is/are subscribed to the within instrument and acknowledged to me that he/she/they executed the same in his/her/their authorized capacity(ies), and that by his/her/their signature(s) on the instrument the person(s), or the entity upon behalf of which the person(s) acted, executed the instrument.

I certify under PENALTY OF PERJURY under the laws of the State of California that the foregoing paragraph is true and correct.

WITNESS my hand and official seal.

Notary Public

(SEAL)

The following is a copy of provisions 1 to 14, inclusive, of the fictitious deed of trust, recorded in each county in California, as stated in the foregoing Deed of Trust and incorporated by reference in said Deed of Trust as being a part thereof as if set forth at length therein.

TO PROTECT THE SECURITY OF THIS DEED OF TRUST, TRUSTOR AGREES:

1. To keep said property in good condition and repair; not to remove or demolish any building thereon; to complete or restore promptly and in good and workmanlike manner any building which may be constructed, damaged or destroyed thereon and to pay when due all claims for labor performed and materials furnished therefor; to comply with all laws affecting said property or requiring any alterations or improvements to be made thereon; not to commit or permit waste thereof; not to commit, suffer or permit any act upon said property in violation of law; to cultivate, irrigate, fertilize, fumigate, prune and do all other acts which from the character or use of said property may be reasonably necessary, the specific enumerations herein not excluding the general.

2. To provide, maintain and deliver to Beneficiary fire insurance satisfactory to and with loss payable to Beneficiary. The amount collected under any fire or other insurance policy may be applied by Beneficiary upon any indebtedness secured hereby and in such order as Beneficiary may determine, or at option of Beneficiary the entire amount so collected or any part thereof may be released to Trustor. Such application or release shall not cure or waive any default or notice of default hereunder or invalidate any act done pursuant to such notice.

3. To appear in and defend any action or proceeding purporting to affect the security hereof or the rights or powers of Beneficiary or Trustee; and to pay all costs and expenses, including cost of evidence of title and attorney's fees in a reasonable sum, in any such action or proceeding in which Beneficiary or Trustee may appear, and in any suit brought by Beneficiary to foreclose this Deed.

4. To pay at least ten days before delinquency all taxes and assessments affecting said property, including assessments on appurtenant water stock; when due, all encumbrances, charges and liens, with interest, on said property or any part thereof, which appear to be prior or superior hereto; all costs, fees and expenses of this Trust.

Should Trustor fail to make any payment or to do any act as herein provided, then Beneficiary or Trustee, but without obligation so to do and without notice to or demand upon Trustor and without releasing Trustor from any obligation hereof, may: make or do the same in such manner and to such extent as either may deem necessary to protect the security hereof, Beneficiary or Trustee being authorized to enter upon said property for such purposes; appear in and defend any action or proceeding purporting to affect the security hereof or the rights or powers of Beneficiary or Trustee; pay, purchase, contest or compromise any encumbrance, charge or lien which in the judgment of either appears to be prior or superior hereto; and, in exercising any such powers, pay necessary expenses, employ counsel and pay his reasonable fees.

5. To pay immediately and without demand all sums so expended by Beneficiary or Trustee, with interest from date of expenditure at the rate specified in the principal indebtedness secured hereby, and to pay for any statement provided for by law in effect at the date hereof regarding the obligation secured hereby any amount demanded by the Beneficiary not to exceed the maximum amount allowed by law at the time when said statement is demanded.

6. That any award of damages in connection with any condemnation for public use of or injury to said property or any part thereof is hereby assigned and shall be paid to Beneficiary who may apply or release such moneys received by him in the same manner and with the same effect as above provided for disposition of proceeds of fire or other insurance.

7. That by accepting payment of any sum secured hereby after its due date, Beneficiary does not waive his right either to require prompt payment when due of all other sums so secured or to declare default for failure so to pay.

8. That at any time or from time to time, without liability therefor and without notice, upon written request of Beneficiary and presentation of this Deed and said note for endorsement, and without affecting the personal liability of any person for payment of the indebtedness secured hereby, Trustee may: reconvey any part of said property; consent to the making of any map or plat thereof; join in granting any easement thereon; or join in any extension agreement or any agreement subordinating the lien or charge hereof.

9. That upon written request of Beneficiary stating that all sums secured hereby have been paid, and upon surrender of this Deed and said note to Trustee for cancellation and retention and upon payment of its fees, Trustee shall reconvey, without warranty, the property then held hereunder. The recitals in such reconveyance of any matters or facts shall be conclusive proof of the truthfulness thereof. The grantee in such reconveyance may be described as "the person or persons legally entitled thereto." Five years after issuance of such full reconveyance, Trustee may destroy said note and this Deed (unless directed in such request to retain them).

10. That the assignment of the rents, issues and profits of said property is expressly intended to be absolute upon Trustor's default (or notice of default by Trustee), however, Trustor reserves the right prior to its default, in payment of any indebtedness secured hereby or in performance of any agreement hereunder to collect and obtain such rents, issues and profits as they become due and payable. Upon any such default it is the express intention of the parties hereto that all rents, issues, and profits shall be and they hereby are assigned absolutely to the Beneficiary 2948543.1 shall not cure or waive any default or notice of default hereunder.

11. That upon default by Trustor in payment of any indebtedness secured hereby or in performance of any agreement hereunder, Beneficiary may declare all sums secured hereby immediately due and payable by delivery to Trustee of written declaration of default and demand for sale and of written notice of default and of election to cause to be sold said property, which notice Trustee shall cause to be filed for record. Beneficiary also shall deposit with Trustee this Deed, said note and all documents evidencing expenditures secured hereby.

After the lapse of such time as may then be required by law following the recordation of said notice of default, and notice of sale having been given as then required by law, Trustee, without demand on Trustor, shall sell said property at the time and place fixed by it in said notice of sale, either as a whole or in separate parcels, and in such order as it may determine, at public auction to the highest bidder for cash in lawful money of the United States, payable at time of sale. Trustee may postpone sale of all or any portion of said property by public announcement at such time and place of sale, and from time to time thereafter may postpone such sale by public announcement at the time fixed by the preceding postponement. Trustee shall deliver to such purchaser its deed conveying the property so sold, but without any covenant or warranty, express or implied. The

recitals in such deed of any matters or facts shall be conclusive proof of the truthfulness thereof. Any person, including Trustor, Trustee, or Beneficiary as hereinafter defined, may purchase at such sale.

After deducting all costs, fees and expenses of Trustee and of this Trust, including cost of evidence of title in connection with sale, Trustee shall apply the proceeds of sale to payment of: all sums expended under the terms hereof, not then repaid, with accrued interest at the amount allowed by law in effect at the date hereof; all other sums then secured hereby; and the remainder, if any, to the person or persons legally entitled thereto.

12. Beneficiary, or any successor in ownership of any indebtedness secured hereby, may from time to time, by instrument in writing, substitute a successor or successors to any Trustee named herein or acting hereunder, which instrument, executed by the Beneficiary and duly acknowledged and recorded in the office of the county or counties where said property is situated, shall be conclusive proof of proper substitution of such successor Trustee or Trustees, who shall, without conveyance from the Trustee predecessor, succeed to all its title, estate, rights, powers and duties. Said instrument must contain the name of the original Trustor, Trustee and Beneficiary hereunder, the book and page where this Deed is recorded and the name and address of the new Trustee.

13. That this Deed applies to, inures to the benefit of, and binds all parties hereto, their heirs, legatees, devisees, administrators, executors, successors and assigns. The term Beneficiary shall mean the owner and holder, including pledgees, of the note secured hereby, whether or not named as Beneficiary herein. In this Deed, whenever the context so requires, the masculine gender includes the feminine and/or neuter, and the singular number includes the plural.

14. That Trustee accepts this Trust when this Deed, duly executed and acknowledged, is made a public record as provided by law. Trustee is not obligated to notify any party hereto of pending sale under any other Deed of Trust or of any action or proceeding in which Trustor, Beneficiary or Trustee shall be a party unless brought by Trustee.

TO PROTECT THE SECURITY OF THIS DEED OF TRUST, TRUSTOR AGREES: By the execution and delivery of this Deed of Trust and the note/obligation secured hereby that provisions 1 to 14, inclusive, of the fictitious deed of trust recorded on May 10, 1978 in the counties set forth below, and at the Recording Location of the Official Records in the office of the county recorder where said property is located, noted below opposite the name of such county, viz.:

County	Book	Page	County	Book	Page	County	Book	Page
Alameda	1288	556	Marin	1849	122	San Mateo	4778	175
Alpine	3	130-31	Mariposa	90	453	Santa Barbara	2065	881
Amador	133	438	Mendocino	667	99	Santa Clara	6626	664
Butte	1330	513	Merced	1660	753	Santa Cruz	1638	607
Calaveras	185	338	Modoc	191	93	Shasta	800	633
Colusa	323	391	Mono	69	302	Sierra	38	187
Contra Costa	4684	1	Monterey	357	239	Siskiyou	506	762
Del Norte	101	549	Napa	704	742	Solano	1287	621
El Dorado	704	635	Nevada	363	94	Sonoma	2067	427
Fresno	5052	623	Orange	7182	18	Stanislaus	1970	56
Glenn	469	76	Placer	1028	379	Sutter	655	585
Humboldt	801	83	Plumas	166	1307	Tehama	457	183
Imperial	1189	701	Riverside	3778	347	Trinity	108	595
Inyo	165	672	Sacramento	5039	124	Tulare	2530	108
Kern	3756	690	San Benito	300	405	Tuolumne	177	160
Kings	858	713	San Bernardino	6213	768	Ventura	2607	237
Lake	437	110	San Francisco	A-804	596	Yolo	769	16
Lassen	192	367	San Joaquin	2855	283	Yuba	398	693
Los Angeles	T-3878	874	San Luis Obispo	1311	137			
Madera	911	136	San Diego	SERIES 5 Book 1964, Page 149774				

(which provisions, identical in all counties) hereby are adopted and incorporated herein and made a part hereof as fully as though set forth herein at length; to observe and perform said provisions; and that the references to property, obligations, and parties in said provisions shall be construed to refer to property, obligations, and parties set forth in this Deed of Trust.

EXHIBIT "A"

LEGAL DESCRIPTION

For APN/Parcel ID(s): 276-323-01

THE LAND REFERRED TO HEREIN BELOW IS SITUATED IN THE CITY OF BUENA PARK,
COUNTY OF ORANGE, STATE OF CALIFORNIA AND IS DESCRIBED AS FOLLOWS:

PARCEL 1:

LOTS 22 AND 23 OF TRACT NO. 551, IN THE CITY OF BUENA PARK, COUNTY OF ORANGE,
STATE OF CALIFORNIA, AS PER MAP RECORDED IN BOOK 19, PAGE 43 OF MISCELLANEOUS
MAPS, IN THE OFFICE OF THE COUNTY RECORDER OF SAID COUNTY.

EXCEPT THE EAST 40 FEET THEREOF.

PARCEL 2:

A NON-EXCLUSIVE RIGHT TO UTILIZE THE PARKING AREA FOR CUSTOMER PARKING AND THE
RIGHT TO EGRESS AND INGRESS AND AS SET FORTH IN THAT CERTAIN PARKING
AGREEMENT DATED MARCH 16, 1970 AND RECORDED ON MARCH 13, 1970 AS INSTRUMENT
7508, IN BOOK 9238, PAGE 184 OF OFFICIAL RECORDS.

EXHIBIT "C"

EXHIBIT C

- LTC Development, Inc.
- 3100 E. Imperial Highway Corp.
- Greenland Construction Service, LLC
- M+D Properties, Inc.
- DMC Investment Holdings, LLC
- 3000 E. Imperial, LLC
- Comex Food Service, Inc.
- 3100 E. Imperial Hwy, LLC
- JEL Investment, Inc.
- Imperial Shopping Center, LLC
- ISLT Investment, LLC
- Placo Investment, LLC
- 3100 E. Imperial Investment, LLC
- Plamex Investment, LLC
- The Source Hotel, LLC
- M&D Regional Center, LLC
- The Source Tower & Residences, LLC
- Placo San Bernardino, LLC
- 22003 PCH, LLC
- The Source Residential, LLC
- The Source Venue, LLC
- Placo Fitness, LLC
- Innoatti Technologies, LLC
- Tigon Capital, LLC
- Tigon US Fund I, LLC
- The Source Residential, LLC
- 3171 Fair Oaks, LLC
- Comex KC, LLC
- Comex Korean BBQ, LLC
- Comex Investment Fund, LLC